

NOTES

PREFACE

1. “Why Buy and Hold Doesn’t Work Anymore,” *Money Magazine*, March 2012.
2. Fama and French (2008).

CHAPTER 1

1. For more than you could ever want to know about the first index mutual fund, see John Bogle’s write-up at http://www.vanguard.com/bogle_site/lib/sp19970401.html.
2. Unsustainable growth rates assumptions, such as those occurring in bubbles, challenge rational expectations that underlie the efficient market hypothesis.
3. In Bachelier’s work, we find the Chapman-Kolmogorov-Smoluchowski equation for continuous stochastic processes, derivation of the Einstein-Wiener Brownian motion process, and recognition that this process is a solution for the partial differential equation for heat diffusion. Bachelier also developed the rudiments of Markov properties, Fokker-Planck equations, Ito calculus, and Doob’s martingales.
4. Lo later coauthored a book called *A Non-Random Walk Down Wall Street* as a rejoinder to Burton Malkiel’s popular efficient market tome, *A Random Walk Down Wall Street*.